INTERNATIONAL MONETARY FUND

ST. VINCENT AND THE GRENADINES

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STAFF REPORT FOR THE 2018 ARTICLE IV CONSULTATION—DEBT SUSTAINABILITY ANALYSIS

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Prepared by the staffs of the International Monetary Fund and the International Development Association.

Risk of external debt distress (current policies):	High
Overall risk of debt distress	High
Granularity in the risk rating	Sustainable
Application of judgement	No

The overall assessment is broadly unchanged from the 2017 Article IV Staff Report. After peaking at 83 percent of GDP in 2016, total public debt fell to 74 percent of GDP in 2017. Public and publicly guaranteed external debt fell from 57 percent in 2016 to 47 percent of GDP in 2017. This reflects improvements in the fiscal position in the last two years and two rounds of debt forgiveness with a bilateral creditor in 2017.

Nonetheless, the risk of external and public debt distress remains high. [1]Public external debt is projected to decline over the medium-term, but its present value (PV) is projected to stay above the indicative threshold (40 percent of GDP) until 2020 under the baseline scenario (Figure 1). The PV of total public debt is projected to stay above the indicative threshold (55 percent of GDP) until 2030 (Figure 2).

The DSA results highlight key risks to debt dynamics stemming from weaker-than-expected growth and more severe natural disaster hazards due to climate change. The authorities could consider additional fiscal measures to guard against adverse events and to firmly put public debt on a downward path toward the Eastern Caribbean Currency Union's (ECCU) regional target of 60 percent of GDP.

[1] St. Vincent and the Grenadines' score in the Composite Indicator is 2.98 pointing that the country's debt carrying capacity is classified as medium. The classification determines the corresponding debt and debt service thresholds for the external public and publicly-guaranteed external debt and for total public debt.

BACKGROUND ON PUBLIC SECTOR DEBT

1. There are no data gaps in public sector debt coverage (Text Table 1). Public sector debt includes central government debt and state-owned enterprises (SOEs) debt.[2] As of end-2017, the outstanding stock of public debt was EC$1.6 billion (74.2 percent of GDP), of which central government debt was EC$1.3 billion (62.4 percent of GDP), and SOEs debt was EC$0.2 billion (11.8 percent of GDP). [3]

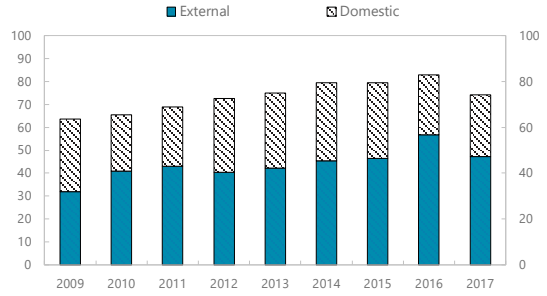
Text Table1. Coverage of Public Sector Debt

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	
8	Non-guaranteed SOE debt	

2. The stock of public debt has declined as a percent of GDP, reflecting progress with fiscal consolidation and debt forgiveness. Public debt fell from 82.8 percent of GDP in 2016 to 74.2 percent of GDP in 2017 reflecting a primary surplus position and two rounds of debt forgiveness with Venezuela (US$85 million in June 2017 and US$81 million in September 2017 equal to 7¾ percent of GDP).

Text Figure1. Public Sector Debt

(Percent of GDP)



Sources: St. Vincent and the Grenadines' authorities and IMF staff calculations.

3. The composition of public debt is dominated by external debt (Text Figure 1). As of end 2017, the stock of external debt accounted for around 64 percent of total public debt, while domestic debt accounted for 36 percent of total public debt, in the form of treasury bills and government bonds (53 percent of total domestic debt); loans in local currency (38 percent); and accounts payable (about 9 percent).[4] Most of the government securities are held by the buy-and-hold national pension system. Additionally, the government has in place a sinking fund (about 1.5 percent of GDP) for the repayment of government securities and to reduce potential rollover risks.

[2] Note that there are no local governments. In addition, all of SOEs' external debt is guaranteed by the central government.

[3] There is a EC$300 million limit on SOEs' total debt.

[4] Debt classification is based on a residency basis, treating local currency-denominated debt issued in the local debt market and held by non-residents as external debt.

4. External public debt fell from 56.7 percent of GDP in 2016 to 47.4 percent of GDP in 2017. The decline in external debt was due to improvements in the fiscal position over the last two years and two rounds of debt forgiveness with Venezuela. Most public external debt is with multilateral and bilateral donors (47.6 percent and 38.6 percent of total, respectively) on concessional terms. The remaining 13 percent is on commercial terms (Text Figure 2 and Text Table 2).

Text Table 2. Public Sector External Debt, 2017

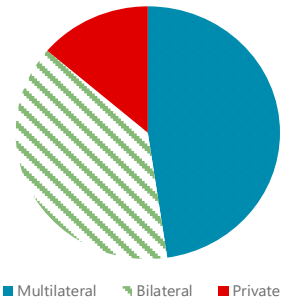
(Percent of total and percent of GDP)

Total	**100.0**
Multilateral Institutions	**47.6**
World Bank	9.0
Caribbean Development Bank	33.8
IMF	2.9
Others	1.9
Bilateral Creditors	**38.6**
USAID	0.7
France	0.4
Venezuela	24.9
Others	12.6
Private Creditors[1]	**13.8**

Source: Ministry of Finance, St. Vincent and the Grenadines.
[1] Includes commercial banks, insurance companies, pension funds, among others.

Text Figure 2. Public Publicly Guaranteed External Debt

(Percent of total)



Sources: St. Vincent and the Grenadines' authorities and IMF staff calculations.

CHANGES IN THE MACROECONOMIC FORECAST RELATIVE TO PREVIOUS DSA

5. The macroeconomic assumptions underlying the baseline scenario are consistent with the macroeconomic framework discussed in the Staff Report. Main revisions since the 2017 Article IV consultation are as following (Text Table 3).

- The near-term growth outlook is largely unchanged, with real GDP growth (based on market prices) expected to rebound from 0.9 percent in 2017 to 2.0 percent in 2018, supported by higher stay-over tourism arrivals and tourism-related activities. However, medium- to long-term growth projections have been revised down, from the 2.8-3 percent growth assumed in the 2017 Article IV Staff Report to around 2.3 percent, reflecting more moderate and realistic growth rates of public capital spending and net FDI inflows

- Growth of the GDP deflator is estimated at 3.2 percent in 2018 reflecting increases in oil and food prices (up from 2.1 percent in the 2017 Article IV Staff Report) but is projected to moderate to 2 percent in 2020-30 broadly in line with the U.S. inflation.[5]

[5] St. Vincent and the Grenadines is a member of the Eastern Caribbean Currency Union, and the exchange rate peg against the U.S. dollar provides an anchor for inflation.

- The current account deficit is projected to narrow over the medium-term from 16 percent of GDP in 2018 to about 12 percent of GDP in 2022, similar to the path assumed in the 2017 Staff Report. This reflects improvements in the trade balance driven by rising exports of goods and services associated with the increase in tourism activity and non-traditional exports and lower dependence on imported fuels once the new geothermal project comes on stream.

- FDI is projected to remain steady over the medium-term at around 12.5 percent of GDP reflecting the construction and expansion of hotels. FDI will remain the main source of financing of the current account deficit.

- The average primary balance for the public sector is assumed at a surplus of 1.1 percent of GDP for the projection horizon. This is slightly higher than the DSA scenario in the 2017 report, reflecting the government's positive track record in containing recurrent spending (including the wage bill and transfers and subsidies in recent years).

- Long-term external and domestic financing mix. About one third of the deficit is assumed to be financed by external sources and the remaining two thirds by domestic sources. External loan disbursements include those from existing loan contracts (US$170 million) and new loans (US$100 million). Most of the new financing is expected to come from multilateral and bilateral donors, including budget support and projects (e.g., geothermal power plant, new port and ferry, coastal protection, and agribusiness). These reflect the increase in IDA resources, which will contribute to raise the grant element of new disbursements to an average of 38.5 percent over the projection period compared to 22.4 percent in 2018.

Text Table 3. St. Vincent and the Grenadines: Selected Macroeconomic Indicators Assumptions

	2017	2018	2019	2020	2021	2022
2017 DSA						
Nominal GDP (EC$, millions)	2,164	2,255	2,353	2,454	2,566	2,679
Real GDP growth, (percent change), factor cost	1.0	2.1	2.5	2.8	3.0	3.0
Real GDP growth, (percent change), market price	1.1	2.0	2.4	2.6	2.8	2.8
Inflation (GDP deflator, percent change)	3.1	2.1	1.8	1.5	1.5	1.3
Current account balance (percent of GDP)	-14.3	-13.6	-13.3	-12.5	-11.6	-10.9
Central government primary balance (percent of GDP)	0.2	0.5	0.6	0.7	0.7	0.7
Central government fiscal balance (percent of GDP)	-2.4	-2.0	-1.9	-1.8	-1.8	-1.7
Public sector, primary balance (percent of GDP)	0.3	0.4	0.4	0.5	0.5	0.5
Public sector, fiscal balance (percent of GDP)	-1.7	-2.6	-2.6	-2.4	-2.4	-2.3
Total public debt (percent of GDP)	77.5	78.5	78.6	78.4	77.9	77.7
Current DSA						
Nominal GDP (EC$, millions)	2,120	2,231	2,334	2,438	2,544	2,655
Real GDP growth, (percent change), factor cost	0.7	2.0	2.3	2.4	2.3	2.3
Real GDP growth, (percent change), market price	0.9	2.0	2.3	2.4	2.3	2.3
Inflation (GDP deflator, percent change)	2.2	3.2	2.3	2.0	2.0	2.0
Current account balance (percent of GDP)	-17.2	-15.9	-15.0	-14.0	-13.2	-12.4
Central government primary balance (percent of GDP)	1.9	0.6	0.8	1.0	1.0	1.1
Central government fiscal balance (percent of GDP)	-0.5	-2.0	-1.7	-1.5	-1.4	-1.3
Public sector, primary balance (percent of GDP)	1.9	0.6	0.8	1.0	1.0	1.1
Public sector, fiscal balance (percent of GDP)	-0.5	-2.0	-1.9	-1.7	-1.7	-1.6
Total public debt (percent of GDP)	74.2	73.0	71.3	69.6	68.0	66.6

Source: St. Vincent and the Grenadines Ministry of Finance and IMF Staff calculations and projections.

REALISM OF THE MACROFRAMEWORK

6. Debt dynamics (Figure 3). Over the next five years, the expected increase in direct flights would boost tourism receipts (contributing to smaller current account deficits) and private investment (contributing to steady net FDI inflows), which would help to contain an increase in the external debt-to-GDP ratio. The projected improvement in the primary balance and higher growth would contribute to reduce the public debt-to-GDP ratio. Public debt is projected to fall faster than assumed in the 2017 report, mainly because the primary surplus is higher than previously assumed.

7. Staff considers the baseline scenario as realistic (Figure 4). The projected fiscal adjustment could exert some drag on growth in 2019. However, the expected increase in tourist arrivals would boost tourism-related activities such as hotels, restaurants, and retail trade, supporting private-sector led growth. The fiscal adjustment over the medium-term is also assumed to be moderate. The primary balance is projected to improve from 0.6 percent of GDP in 2018 to 0.8 percent of GDP in 2019, and gradually to 1.1 percent of GDP by 2022 by restraining recurrent spending. The contribution of public capital to real GDP growth is projected to be slightly negative mainly because the growth rate of public capital spending in 2018 is negative. Excluding 2018, the contribution to real GDP growth is neutral.

COUNTRY CLASSIFICATION

8. St. Vincent's debt-carrying capacity is medium (Text Table 4). St. Vincent's Composite Indicator (CI) index (which determines the indicative thresholds to assess a country's debt sustainability) is calculated as 2.98, corresponding to a "medium" rating.[6] St. Vincent's debt carrying capacity is unchanged compared to the rating under the previous Country Policy and Institutional Assessment (CPIA) methodology.[7] The corresponding scores for the CI index determine the relevant thresholds for St. Vincent and the Grenadines for both external and total public debt (Text Table 5).

[6] The CI index captures the impact of the weighted average of the World Bank's CPIA score, the country's real economic growth, remittances, international reserves, and world growth. The CI calculation is based on 10-year averages of the variables including 5 years of historical data and 5 years of projections. The index was calculated using the October 2018 WEO data and the 2017 CPIA.

[7] Countries are rated based on a set of 16 backward-looking criteria grouped into four areas including economic management, structural policies, policies on social inclusion and equity, and public-sector management and institutions.

Text Table 4: Debt-Carrying Capacity Under the Composite Indicator Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	3.600	1.38	46%
Real growth rate (in percent)	2.719	1.669	0.05	2%
Import coverage of reserves (in percent)	4.052	39.316	1.59	53%
Import coverage of reserves^2 (in percent)	-3.990	15.457	-0.62	-21%
Remittances (in percent)	2.022	4.375	0.09	3%
World economic growth (in percent)	13.520	3.579	0.48	16%
CI Score			2.98	100%
CI rating			Medium	

Text Table 5: Composite Indicator Index: Thresholds

Text Table 5. Composite Indicator Index: Thresholds

External debt	Weak	Medium	Strong
PV of external in percent of:			
Exports	140	**180**	240
GDP	30	**40**	55
Debt service in percent of:			
Exports	10	**15**	21
Revenue	14	**18**	23
Total debt: PV of total public debt in percent of GDP	35	**55**	70

9. The combined contingent liability stress test is aligned to St. Vincent's specific risks (Text Table 6). The stress test includes the potential impact from existing Public-private partnerships (PPPs) and risks pertaining to financial markets. SOEs' debt is excluded from the stress test, as SOEs' debt is already included in total public debt.[8]

Text Table 6: Combined Contingent Liability Shock

1 The country's coverage of public debt	The central government, government-guaranteed debt		
	Default	Used for the analysis	Reasons for deviations from the default settings
2 Other elements of the general government not captured in 1.	0 percent of GDP	0.0	
3 SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	0.0	
4 PPP	35 percent of PPP stock	13.7	
5 Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5.0	
Total (2+3+4+5) (in percent of GDP)		18.7	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

There are no local governments in St. Vincent and the Grenadines. 100 percent of current SOEs' external debt is guaranteed by the central government.

[8] Potential contingent liabilities from the pension system are not included. Parametric reforms introduced in 2014 improved the sustainability of the National Insurance System (NIS), but only temporary, as its reserves are projected to be depleted by around 2033. Currently, the government is assessing options to further strengthen NIS's financial position and to reduce the burden from the public service pension system.

DEBT SUSTAINABILITY ANALYSIS

A. Baseline Scenario

Baseline Natural Disaster Assumptions

10. The impact of natural disasters is estimated based on St. Vincent and the Grenadines' historical experience (Text table 7). The average of total natural disaster damage is estimated at 1.5 percent of GDP for the period 1980-2017, at 2 percent for the last 15 years, and 3.9 percent for the last 5 years. Staff assumes that under the baseline scenario, natural disasters would occur at the magnitude and frequency of the past 15 years, and about 70-75 percent of total damage would be borne by the public sector (i.e., annual fiscal costs of 1.4 percent of GDP a year). The baseline also assumes that 0.7 percent of GDP of the fiscal costs could be covered by the contingency fund and the remaining 0.7 percent of GDP by expenditure reserves included in the annual budget envelope.

Text Table 7: St. Vincent and the Grenadines: Major Weather-related Disasters since 1980

Year	Type	Total damage (% GDP)	Est. fiscal costs (% GDP)	People affected	
				Number	% population
1980	Hurricane Allen	19.8		20,500	20.9
1987	Floods	2.8		1,000	1.0
1987	Hurricane Emily	3.0		208	0.2
1999	Hurricane Lenny	0.5		100	0.1
2002	Hurricane Lili	2.4		NA	NA
2004	Hurricane Ivan	1.0		1,004	0.9
2005	Hurricane Emily	1.5		530	0.5
2010	Hurricane Tomas	3.7		6,100	5.6
2011	Floods	3.8		275	0.3
2013	Floods	15.0		17,422	15.8
2016	Floods	4.7		25,000	22.7
Annual average					
Full sample (1980-2017)		1.5	1.1		
Last 20 years (1998-2017)		1.6	1.2		
Last 15 years (2003-2017)		2.0	1.4		
Last 10 years (2008-2017)		2.7	2.0		
Last 5 years (2013-2017)		3.9	2.9		

Sources: Acevedo, S., 2016, "Gone with the Wind : Estimating Hurricane and Climate Change Costs in the Caribbean," IMF WP 16/199; EM-DAT database; and the St. Vincent authorities.

External Debt Sustainability Analysis

11. St. Vincent and the Grenadines' risk of external debt distress is high. Under the baseline scenario, the PV of debt-to-GDP ratio would fall below the indicative threshold of 40 percent of GDP in 2021 (Figure 1 and Table 1). However, it breaches the threshold for an extended period under stress test scenarios, including due to shocks to growth, exports, and a hypothetical one-time 30 percent depreciation (Tables 3 and 4). The shock that generates the largest impact on the PV of debt-to-GDP ratio is the shock to exports. In this case, it breaches the threshold for an extended period until 2028, longer than in the baseline scenario.

12. Furthermore, the PV of debt-to-exports ratio and the debt service-to-exports thresholds are breached under standardized stress test scenarios. A shock to exports pushes the debt service-to-exports ratio above the 15 percent threshold for five years (2019-2023). The shock to exports temporarily pushes the ratio for the PV of debt-to-exports ratio above its indicative threshold.

13. The other indicator of external public debt sustainability remains below its indicative threshold. The debt service-to-revenue ratio remains at comfortable levels in the baseline and shock scenarios. (Figure 1).

Public Debt Sustainability Analysis

14. The ECCU debt target of 60 percent of GDP can be achieved by around 2030, but the overall risk of debt distress is high (Figure 2 and Table 2). The PV of public debt is estimated at 74 percent of GDP in 2018, well above the indicative threshold of 55 percent of GDP. Under the "most extreme stress scenario," which assumes real GDP growth equal to its historical average (10 years) minus one standard deviation for 2019 and 2020, public debt becomes unsustainable, and its PV would reach 100 percent of GDP by 2024. Under other alternative scenarios including a shock to exports, a hypothetical 30 percent depreciation, or the tailored test of "one-time natural disaster" (see below), the PV of public debt (in percent of GDP) would stay constantly above the 55 percent threshold.

B. Alternative Scenarios

15. Two alternative scenarios are considered consistent with St. Vincent and the Grenadines' characteristics and recent experience. These scenarios reflect downside risks to the medium-term growth outlook and natural disaster risks.

Low Growth Scenario

16. The growth recovery would not be sustained, if global growth slows, dampening tourist arrivals and tourism-related activities. Medium-term output growth is assumed to stay at around 1.4 percent (the average growth rate for 2013-2017) (Text Figure 3 and Text Table 8). Despite lower growth rates, it is assumed that the authorities remain committed to meeting the ECCU's debt target and thus would maintain the primary balance position at a surplus of around 1 percent of GDP on average (unchanged from the baseline scenario).

17. Due to lower GDP growth, the pace of debt reduction would be much slower. St. Vincent and the Grenadines would not be able to meet the ECCU's 60 percent debt target by 2030.

Natural Disasters Scenarios

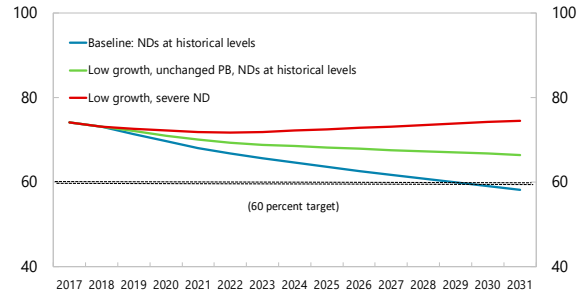
18. Two natural disaster scenarios are conducted which reflect the country's exposure to natural disasters: (i) a one-time very severe natural disaster occurring in 2019; and (ii) recurrent severe natural disasters (less severe but more frequent events than the one-time natural disaster scenario, but more severe than the baseline scenario).

- **One-time natural disaster in 2019.** The fiscal costs due to the damages from this severe disaster are assumed to be 10 percent of GDP, in addition to the 1.4 percent of GDP assumed in

the baseline scenario. The total fiscal cost of 11.4 percent of GDP is similar to the 2013 natural disaster experience—total damages and losses were estimated at 15 percent of GDP, of which about 12 percent of GDP were borne by the government. Under this scenario, real GDP growth is assumed to fall to 0.5 percent in 2019 compared to 2.3 percent in the baseline scenario, but it rebounds in 2020 reflecting the reconstruction efforts. The government is assumed to finance the fiscal costs through new debt. The results show that the PV of public debt would jump from 74 percent in 2018 to 86 percent of GDP in 2019 and remain high over the long-term (Top chart, Figure 2).

- **Recurrent more severe natural disasters (less severe than the one-time natural disasters) (Text Figure 3 and Text Table 8).** This scenario assumes that natural disasters hit the country at the frequency and magnitude of the last 10 years (i.e., annual total damages and annual fiscal costs of 2.7 percent and 2 percent of GDP, respectively). This implies additional annual fiscal costs of 0.6 percent of GDP compared to the baseline scenario. Under this scenario, real GDP growth slows down to 1.4 percent over the projection period reflecting the recurrent nature of the disasters. It is also assumed that the additional fiscal costs are financed through debt. Under this scenario, public debt would hover around 72-74 percent of GDP.

Text Figure 3. Public Debt: Baseline Policy Scenario[1]
(Percent of GDP)



Source: IMF staff estimates and calculations.

[1] Baseline: natural disasters occur occur at historical levels (1.4 percent of GDP), growth 2.3 percent, PB 1.1 percent of GDP. Low growth and unchanged PB: real growth 1. 4 percent, NDs at historical level (1.4 percent of GDP), PB 1.1 percent of GDP. Low growth, severe NDs: 2013-17 (fiscal cost 2.0 percent of GDP). Real growth 1.4 percent, PB 0.6 percent of GDP.

Text Table 8. Baseline Policy Scenario
(Percent of GDP)

	Baseline Policy Scenarios		
	Baseline, ND at historical level	Low growth, NDs at historical level	Low growth, severe ND
Real GDP growth (in percent)	2.3	1.4	1.4
Primary balance (percent of GDP)	1.1	1.1	0.6
Public sector debt (percent of GDP)	59	67	74
Natural disaster cost estimates			
Gross fiscal costs	1.4	1.4	2.0
Withdrawal from Contingencies Fund/CCRIF	0.7	0.7	0.7
Use of budget reserves	0.7	0.7	0.7
Net fiscal costs	0.0	0.0	0.6

Source: IMF staff estimates and calculations.

Active Policy Scenario

19. The authorities could aim at a higher primary balance target to ensure debt sustainability even under the above adverse scenarios (Text Figure 4 and Text Table 9).[9] If the authorities raise the primary balance to a surplus of 1.6 percent of GDP by 2020, public debt would fall below 60 percent of GDP by around 2030 even if GDP growth would remain persistently low at 1.4 percent.[10] The higher level of the primary balance would also ensure that public debt would

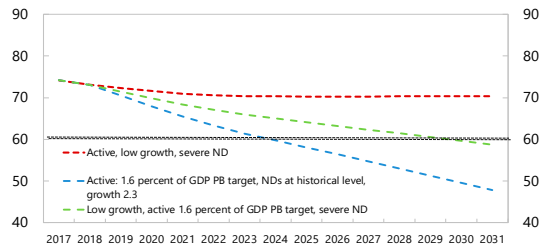
[9] There is a broad set of tax and expenditure measures that can be explored. These include reducing tax exemptions and streamlining zero-rated goods, containing the growth of the wage bill, and reforming the pension system (see Paragraph 20 of the Staff Report).

[10] Fiscal multipliers are likely small because St. Vincent and the Grenadines is a small and open economy, with imports accounting for nearly 40 percent of GDP. In addition, many proposed fiscal measures (see Staff Report

(continued)

stabilize at the current level even if the economy is hit by more severe recurrent natural disasters and growth is persistently low.

Text Figure 4. Public Debt: Active Policy Scenario[1]
(Percent of GDP)



Source: IMF staff estimates.
[1] Active policy: PB target at 1.6 percent of GDP. Real growht at 1.4 percent; NDs at historical level (1.4 percent of GDP)
Active policy: PB target at 1.6 percent of GDP. Real growht at 2.3 percent; NDs at historical level (1.4 percent of GDP)
Active policy and severe ND: Fiscal cost (2.0 percent of GDP) growth 1.4 percent, PB 0.9 percent of GDP.

Text Table 9. Active Policy Scenario
(Percent of GDP)

	Baseline growth & ND at historical level	Active Policy Scenarios	
		Low growth, NDs at historical level	Low growth, severe ND
Real GDP growth (in percent)	2.3	1.4	1.4
Primary balance (percent of GDP)	1.1	1.6	0.9
Public sector debt (percent of GDP)	59	60	70
Natural disaster cost estimates			
Gross fiscal costs	1.4	1.4	2.0
Withdrawal from Contingencies Fund/CCRIF	0.7	0.7	0.7
Use of budget reserves	0.7	0.7	0.7
Net fiscal costs	0.0	0.0	0.6

Source: IMF staff estimates and calculations.

RISK RATING AND VULNERABILITIES

20. The risk of external and public debt distress is "high," unchanged from the assessment in the 2017 Article IV DSA. While the public and publicly guaranteed external debt and total public debt are projected to decline over the medium-term on the back of the improved fiscal position, the risk of external and public debt distress is expected to remain high.

21. The stress tests and alternative scenarios tailored to St. Vincent and the Grenadines' idiosyncratic characteristics and recent growth experience highlight the benefits of taking more active fiscal policies. The low growth and natural disasters scenarios reflect various downside risks to the baseline scenario. The results underscore the merits of building fiscal buffers more actively, in case growth falters or the country suffers more severe natural disasters, to ensure public debt sustainability. The low growth scenario also underlines the need to address the country's binding constraints to growth, including competitiveness and connectivity issues to be able to sustain growth at around 2.3 percent over the medium-to-long-term.

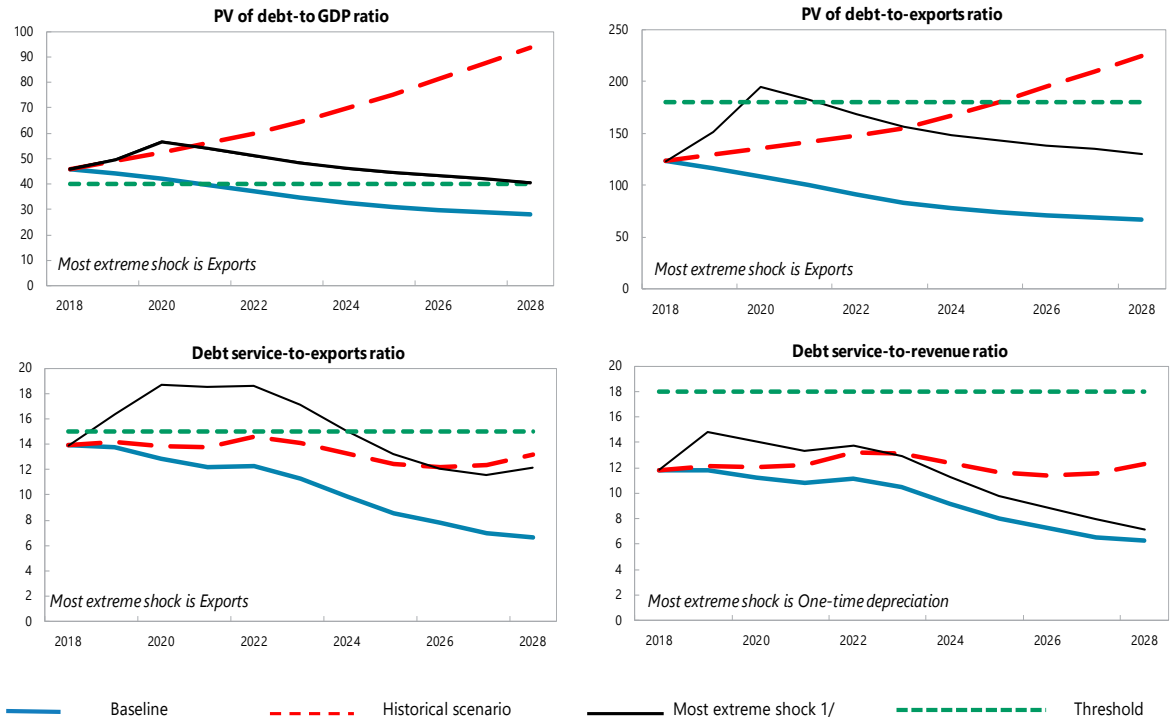
AUTHORITIES' VIEWS

22. The authorities agreed with the debt sustainability assessment under the new framework and welcomed the tailored stress test on natural disaster. They were encouraged by their prudent fiscal policies over the last two years, which helped lower the debt-to-GDP ratio to 74 percent in 2017 for the first time since 2013. The authorities, however, recognized the risks that low growth and natural disasters pose to debt dynamics but reiterated their commitment to put

Paragraph 20) would not most likely affect households with liquidity constraints (e.g., pension reform or containing wage bill growth). Furthermore, fiscal consolidation efforts would improve investors' confidence and private sector activities. Accordingly, these active policy scenarios do not take account of adverse multiplier effects on growth.

debt on a sustainable downward path to reach the ECCU's debt target of 60 percent of GDP by 2030 by implementing fiscal consolidation measures. They agreed that additional fiscal reforms would be needed to create fiscal space to support their capital spending program and, especially if the country suffers more severe natural disasters, to ensure public debt sustainability.

Figure 1. St. Vincent & the Grenadines: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2018-2028



Customization of Default Settings	Size	Interactions
Tailored Tests		
Combined CLs	Yes	
Natural Disasters	Yes	Yes
Commodity Prices 2/	n.a.	n.a.
Market Financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.1%	2.1%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	31	32
Avg. grace period	7	7

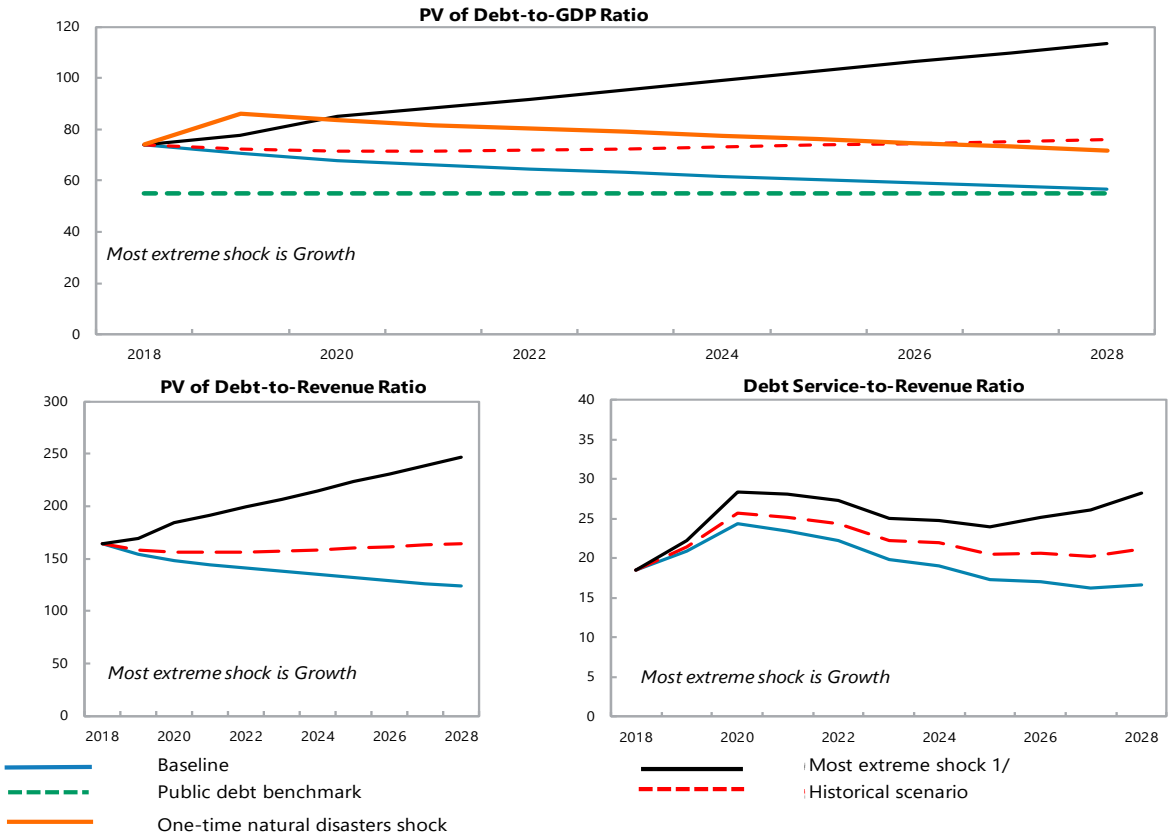
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2028. Stress tests with one-off breaches are also presented (if any), while these one-off breaches are deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. St. Vincent & the Grenadines: Indicators of Public Debt Under Alternative Scenarios, 2018-2028



Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	45%	45%
Domestic medium and long-term	49%	49%
Domestic short-term	5%	5%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.1%	2.1%
Avg. maturity (incl. grace period)	31	32
Avg. grace period	7	7
Domestic MLT debt		
Avg. real interest rate on new borrowing	5.5%	4.0%
Avg. maturity (incl. grace period)	10	10
Avg. grace period	5	5
Domestic short-term debt		
Avg. real interest rate	1%	2%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

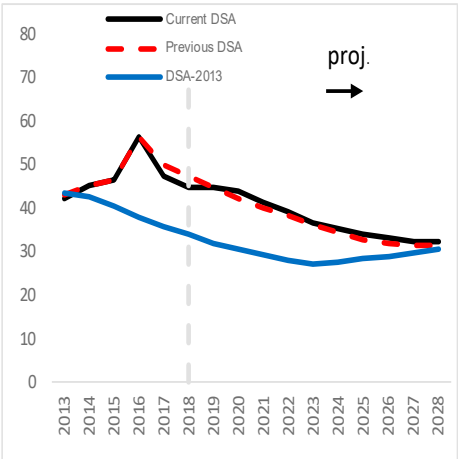
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2028. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

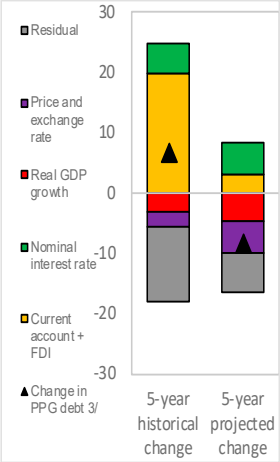
Figure 3. St. Vincent & the Grenadines: Drivers of Debt Dynamics - Baseline Scenario

External Debt

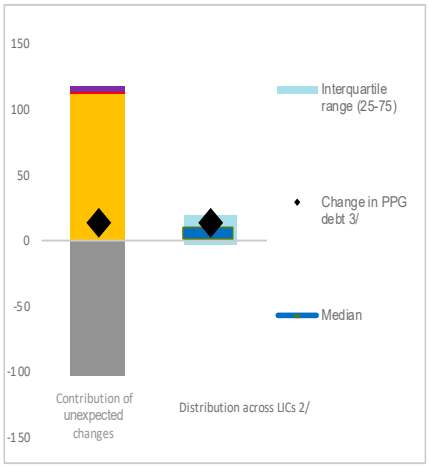
Gross Nominal PPG External Debt (in percent of GDP; DSA vintages)



Debt-creating flows (percent of GDP)

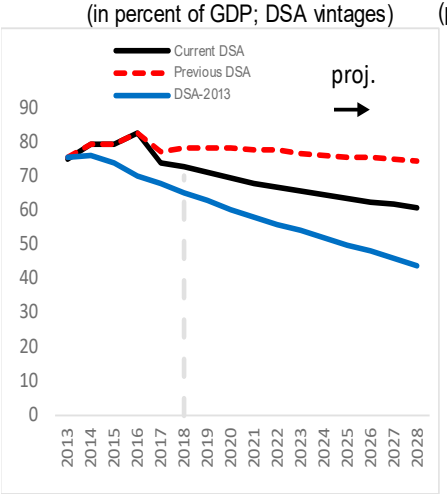


Unexpected Changes in Debt 1/ (past 5 years, percent of GDP)

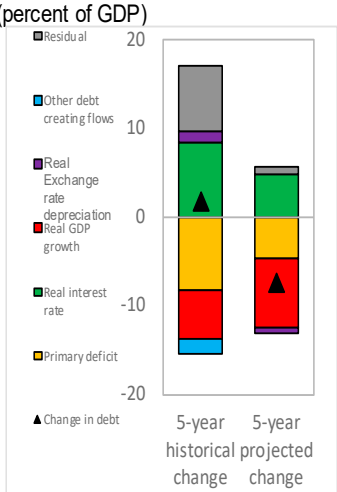


Public debt

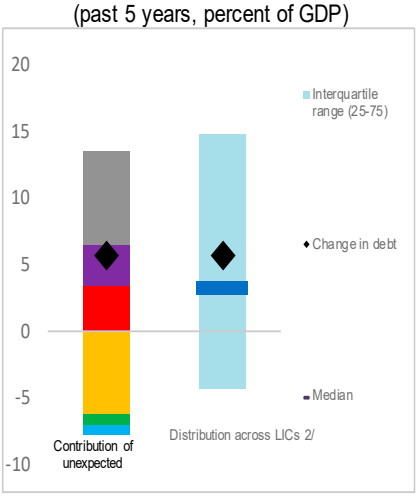
Gross Nominal Public Debt (in percent of GDP; DSA vintages)



Debt-creating flows (percent of GDP)



Unexpected Changes in Debt 1/ (past 5 years, percent of GDP)



Sources: Country authorities; and staff estimates and projections.

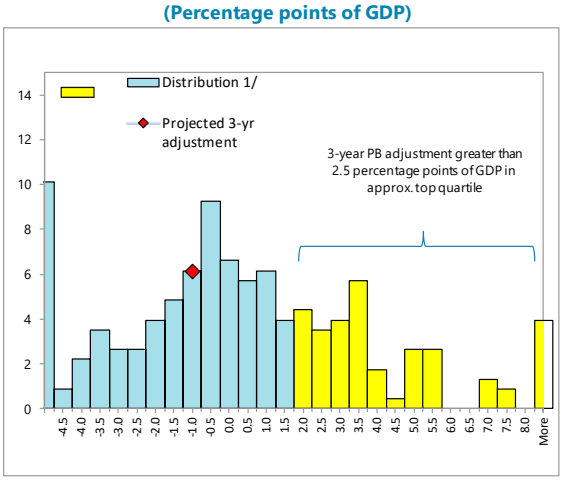
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

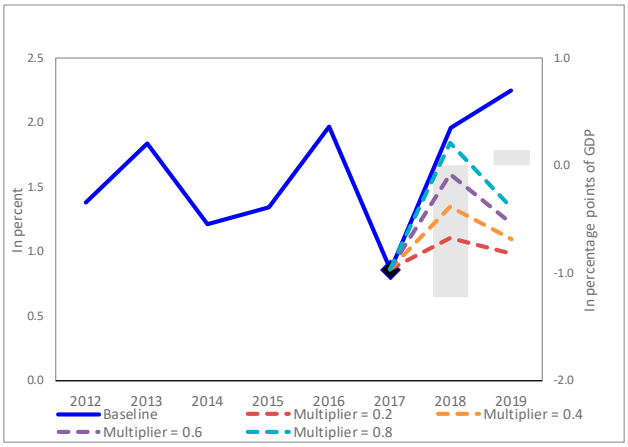
Figure 4. St. Vincent & The Grenadines: Realism Tools

3-Year Adjustment in Primary Balance (Percentage points of GDP)



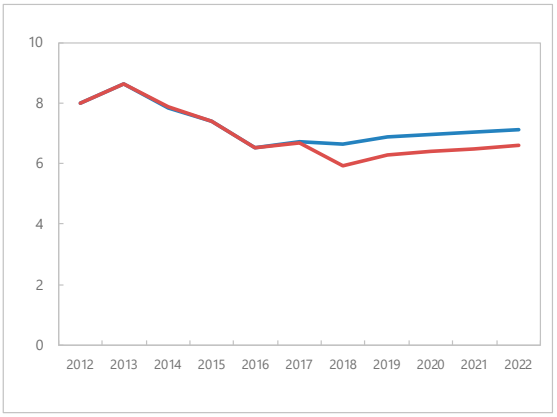
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/

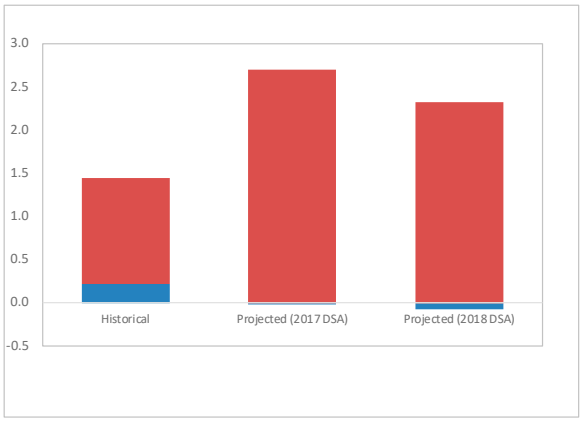


1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public Investment Rates
(% of GDP)



Contribution to Real GDP growth
(percent, 5-year average)



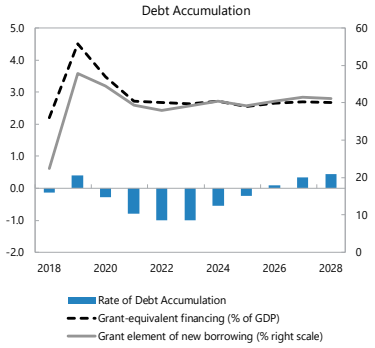
Sources: Country authorities; and staff estimates and projections.

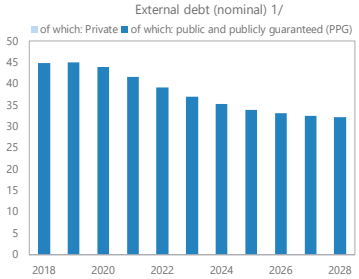
Table 1. St. Vincent & the Grenadines: External Debt Sustainability Framework, Baseline Scenario, 2015-2038

(In percent of GDP, unless otherwise indicated)

	Actual			Projections										Average 8/	
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2028	2029	2030	2038	Historical	Projections
External debt (nominal) 1/	**46.4**	**56.7**	**47.4**	**44.8**	**45.0**	**43.9**	**41.5**	**39.1**	**36.9**	**32.2**	**31.9**	**31.7**	**29.6**	**42.4**	**38.0**
of which: public and publicly guaranteed (PPG)	**46.4**	**56.7**	**47.4**	**44.8**	**45.0**	**43.9**	**41.5**	**39.1**	**36.9**	**32.2**	**31.9**	**31.7**	**29.6**	**42.4**	**38.0**
Change in external debt	0.9	10.2	-9.3	-2.5	0.2	-1.2	-2.4	-2.4	-2.2	-0.4	-0.3	-0.2	-0.2		
Identified net debt-creating flows	**6.3**	**-6.8**	**3.1**	**2.5**	**1.6**	**0.6**	**-0.2**	**-0.9**	**-1.8**	**-1.6**	**-1.6**	**-1.6**	**-1.6**	**8.5**	**-0.6**
Non-interest current account deficit	**13.6**	**14.3**	**16.1**	**14.5**	**14.2**	**13.0**	**12.3**	**11.5**	**10.6**	**10.9**	**10.9**	**10.9**	**10.9**	**23.5**	**11.8**
Deficit in balance of goods and services	17.1	17.8	18.3	17.8	16.1	14.6	13.6	12.7	11.7	11.5	11.5	11.5	11.5	**26.2**	**13.1**
Exports	37.4	37.9	36.0	37.2	37.9	38.7	39.5	40.4	41.4	41.6	41.6	41.6	41.6		
Imports	54.5	55.7	54.3	55.0	54.0	53.4	53.1	53.1	53.1	53.2	53.2	53.2	53.2		
Net current transfers (negative = inflow)	-4.6	-5.4	-4.6	-4.3	-4.0	-3.9	-3.7	-3.6	-3.5	0.0	0.0	0.0	0.0	**-3.0**	**-2.4**
of which: official	-1.5	-0.8	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4		
Other current account flows (negative = net inflow)	1.1	1.9	2.5	1.0	2.1	2.2	2.4	2.4	2.4	-0.7	-0.7	-0.7	-0.7	**0.4**	**1.1**
Net FDI (negative = inflow)	**-6.6**	**-21.1**	**-13.1**	**-12.5**	**-12.5**	**-12.5**	**-12.5**	**-12.4**	**-12.4**	**-12.4**	**-12.4**	**-12.4**	**-12.4**	**-16.1**	**-12.5**
Endogenous debt dynamics 2/	**-0.7**	**-0.1**	**0.1**	**0.6**	**-0.1**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.1**	**-0.1**	**-0.1**	**0.0**		
Contribution from nominal interest rate	1.0	0.8	1.1	1.5	0.9	1.1	0.9	0.9	0.9	0.7	0.6	0.6	0.6		
Contribution from real GDP growth	-0.6	-0.9	-0.5	-0.9	-1.0	-1.1	-1.0	-0.9	-0.9	-0.7	-0.7	-0.7	-0.7		
Contribution from price and exchange rate changes	-1.1	0.0	-0.6	...	...	...	...	...	...	...	...	...	...		
Residual 3/	**-5.4**	**17.0**	**-12.4**	**-5.1**	**-1.4**	**-1.7**	**-2.2**	**-1.5**	**-0.5**	**1.3**	**1.3**	**1.4**	**1.4**	**-6.5**	**-0.8**
of which: exceptional financing	0.0	5.4	-7.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators															
PV of PPG external debt-to-GDP ratio	**...**	**...**	**48.4**	**45.9**	**44.2**	**42.1**	**39.6**	**37.0**	**34.4**	**28.0**	**27.4**	**26.8**	**22.9**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**134.4**	**123.3**	**116.8**	**108.6**	**100.1**	**91.4**	**83.1**	**67.2**	**65.8**	**64.5**	**55.1**		
PPG debt service-to-exports ratio	**10.3**	**27.5**	**12.1**	**13.9**	**13.8**	**12.9**	**12.2**	**12.3**	**11.3**	**6.7**	**6.2**	**6.0**	**5.0**		
PPG debt service-to-revenue ratio	**8.4**	**22.7**	**9.5**	**11.8**	**11.8**	**11.2**	**10.8**	**11.2**	**10.5**	**6.2**	**5.8**	**5.6**	**4.6**		
Gross external financing need (Million of U.S. dollars)	82.0	28.6	58.0	58.9	59.4	49.7	44.0	39.7	29.3	15.0	13.2	12.7	9.5		
Key macroeconomic assumptions															
Real GDP growth (in percent)	1.3	2.0	0.9	2.0	2.3	2.4	2.3	2.3	2.3	2.3	2.3	2.3	2.3	**0.9**	**2.3**
GDP deflator in US dollar terms (change in percent)	2.4	0.1	1.0	3.2	2.3	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	**1.0**	**2.3**
Effective interest rate (percent) 4/	2.2	1.9	2.0	3.3	2.1	2.5	2.2	2.3	2.4	2.1	2.1	2.1	2.3	**5.2**	**2.5**
Growth of exports of G&S (US dollar terms, in percent)	10.3	3.6	-3.3	8.7	6.5	6.9	6.5	6.7	7.0	4.3	4.4	4.3	4.3	**3.7**	**7.0**
Growth of imports of G&S (US dollar terms, in percent)	-7.5	4.3	-0.7	6.6	2.7	3.3	3.8	4.4	4.4	4.3	4.4	4.3	4.3	**0.8**	**4.2**
Grant element of new public sector borrowing (in percent)	...	...	...	22.4	47.8	44.5	39.4	37.9	39.1	41.1	39.1	40.1	42.6	**...**	**38.5**
Government revenues (excluding grants, in percent of GDP)	45.6	46.0	45.7	43.8	44.3	44.5	44.5	44.5	44.5	44.4	44.4	44.4	44.5	**43.5**	**44.4**
Aid flows (in Million of US dollars) 5/	343.6	332.5	337.2	13.8	44.9	34.3	25.5	25.5	26.8	35.4	33.9	36.6	41.7		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	2.2	4.5	3.5	2.7	2.7	2.6	2.7	2.6	2.6	2.0	**...**	**3.0**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	44.4	57.0	57.3	57.2	56.1	57.8	59.4	58.7	59.3	59.2	**...**	**55.0**
Nominal GDP (Million of US dollars)	755	771	785	826	864	903	942	983	1,026	1,272	1,327	1,385	1,950		
Nominal dollar GDP growth	3.8	2.0	1.9	5.2	4.6	4.5	4.3	4.4	4.4	4.3	4.4	4.3	4.3	**1.9**	**4.6**
Memorandum items:															
PV of external debt 7/	...	...	48.4	45.9	44.2	42.1	39.6	37.0	34.4	28.0	27.4	26.8	22.9		
In percent of exports	...	...	134.4	123.3	116.8	108.6	100.1	91.4	83.1	67.2	65.8	64.5	55.1		
Total external debt service-to-exports ratio	10.3	27.5	12.1	13.9	13.8	12.9	12.2	12.3	11.3	6.7	6.2	6.0	5.0		
PV of PPG external debt (in Million of US dollars)			380.2	379.1	382.4	380.0	372.9	363.4	353.5	355.9	363.4	371.7	447.2		
(PVt-PVt-1)/GDPt-1 (in percent)				-0.1	0.4	-0.3	-0.8	-1.0	-1.0	0.5	0.6	0.6	0.7		
Non-interest current account deficit that stabilizes debt ratio	12.6	4.1	25.4	17.0	13.9	14.2	14.7	13.9	12.9	11.2	11.2	11.1	11.1		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + Εα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, Ε=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

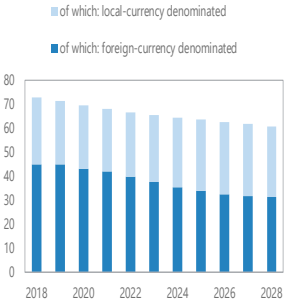
Table 2. St. Vincent & the Grenadines: Public Sector Debt Sustainability Framework, Baseline Scenario, 2015-2038

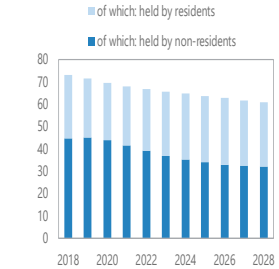
(In percent of GDP, unless otherwise indicated)

	Actual			Projections										Average 6/	
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2028	2029	2030	2038	Historical	Projections
Public sector debt 1/	**79.4**	**82.8**	**74.2**	**73.1**	**71.4**	**69.7**	**68.1**	**66.7**	**65.6**	**60.8**	**59.9**	**59.1**	**51.8**	**71.8**	**66.2**
of which: external debt	**46.4**	**56.7**	**47.4**	**44.8**	**45.0**	**43.9**	**41.5**	**39.1**	**36.9**	**32.2**	**31.9**	**31.7**	**29.6**	**42.4**	**38.0**
Change in public sector debt	-0.1	3.5	-8.7	-1.1	-1.7	-1.7	-1.6	-1.4	-1.2	-0.9	-0.9	-0.9	-0.9		
Identified debt-creating flows	**-2.6**	**2.9**	**-7.1**	**-1.6**	**-1.6**	**-1.8**	**-1.7**	**-1.5**	**-1.4**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**1.1**	**-1.4**
Primary deficit	**-2.6**	**-3.3**	**-1.9**	**-0.6**	**-0.8**	**-1.0**	**-1.0**	**-1.1**	**-1.2**	**-1.3**	**-1.3**	**-1.3**	**-1.3**	**-0.8**	**-1.1**
Revenue and grants	47.7	47.3	47.8	45.2	45.7	45.9	45.9	45.9	45.9	45.8	45.8	45.8	45.5	**47.6**	**45.8**
of which: grants	2.0	1.2	2.1	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.0		
Primary (noninterest) expenditure	45.1	44.0	45.9	44.6	44.9	44.9	44.9	44.8	44.7	44.5	44.5	44.5	44.2	**46.8**	**44.7**
Automatic debt dynamics	**-0.1**	**0.8**	**1.0**	**-1.0**	**-0.9**	**-0.7**	**-0.6**	**-0.4**	**-0.2**	**0.3**	**0.3**	**0.3**	**0.3**		
Contribution from interest rate/growth differential	0.5	0.3	0.5	-0.6	-0.8	-0.7	-0.6	-0.4	-0.1	0.3	0.3	0.3	0.3		
of which: contribution from average real interest rate	1.6	1.9	1.2	0.9	0.8	1.0	1.0	1.2	1.4	1.7	1.7	1.6	1.4		
of which: contribution from real GDP growth	-1.1	-1.5	-0.7	-1.4	-1.6	-1.7	-1.6	-1.5	-1.5	-1.4	-1.4	-1.3	-1.2		
Contribution from real exchange rate depreciation	-0.6	0.5	0.5	...	...	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**5.4**	**-6.2**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.4**	**0.0**
Privatization receipts (negative)	0.0	0.0	1.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	5.4	-7.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**2.6**	**0.5**	**-1.6**	**0.1**	**-0.1**	**0.0**	**0.0**	**0.1**	**0.2**	**0.1**	**0.1**	**0.1**	**0.1**	**3.5**	**0.1**
Sustainability indicators															
PV of public debt-to-GDP ratio 2/	**...**	**...**	**75.2**	**74.1**	**70.6**	**67.9**	**66.2**	**64.6**	**63.2**	**56.6**	**55.5**	**54.3**	**45.1**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**157.4**	**163.8**	**154.5**	**147.9**	**144.1**	**140.7**	**137.6**	**123.6**	**121.0**	**118.4**	**99.1**		
Debt service-to-revenue and grants ratio 3/	**15.4**	**28.8**	**14.7**	**18.5**	**20.9**	**24.4**	**23.4**	**22.2**	**19.8**	**16.6**	**17.0**	**17.4**	**14.0**		
Gross financing need 4/	2.0	7.9	5.2	7.7	8.8	10.2	9.7	9.1	7.9	6.3	6.5	6.7	5.1		
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	1.3	2.0	0.9	2.0	2.3	2.4	2.3	2.3	2.3	2.3	2.3	2.3	2.3	**0.9**	**2.3**
Average nominal interest rate on external debt (in percent)	2.2	1.9	2.0	3.3	2.1	2.5	2.2	2.3	2.4	2.1	2.1	2.1	2.3	**5.2**	**2.3**
Average real interest rate on domestic debt (in percent)	3.2	4.8	4.3	1.7	3.0	2.9	3.3	4.0	4.6	5.6	5.6	5.7	5.8	**6.0**	**4.1**
Real exchange rate depreciation (in percent, + indicates depreciation)	-1.3	1.0	0.9	...	...	...	...	...	...	...	...	...	...	**0.6**	**...**
Inflation rate (GDP deflator, in percent)	2.4	0.1	1.0	3.2	2.3	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	**1.0**	**2.1**
Growth of real primary spending (deflated by GDP deflator, in percent)	-4.1	-0.6	5.3	-1.0	3.0	2.3	2.3	2.1	2.2	2.2	2.4	2.3	2.2	**1.2**	**2.0**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-2.5	-6.7	6.8	0.5	0.9	0.7	0.5	0.2	0.0	-0.4	-0.4	-0.4	-0.4	**-0.8**	**0.1**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	Yes

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, government-guaranteed debt. Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. St. Vincent & the Grenadines: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2018-2028

(In percent)

	Projections 1/										
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
PV of debt-to GDP ratio											
Baseline	**46**	**44**	**42**	40	37	34	32	31	30	29	28
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2038 2/	**46**	**49**	**53**	**56**	**60**	**65**	**70**	**75**	**82**	**88**	**94**
B. Bound Tests											
B1. Real GDP growth	**46**	**47**	**48**	**45**	**42**	39	37	35	34	33	32
B2. Primary balance	**46**	**45**	**43**	**41**	38	36	34	32	31	30	30
B3. Exports	**46**	**50**	**57**	**54**	**51**	**48**	**46**	**44**	**43**	**42**	**41**
B4. Other flows 3/	**46**	**49**	**52**	**49**	**47**	**44**	**42**	**40**	39	38	37
B5. Depreciation	**46**	**56**	**49**	**45**	**42**	39	37	35	33	32	31
B6. Combination of B1-B5	**46**	**55**	**56**	**53**	**50**	**47**	**45**	**43**	**42**	**40**	39
C. Tailored Tests											
C1. Combined contingent liabilities	**46**	**50**	**48**	**46**	**43**	**41**	39	38	37	37	36
C2. Natural disaster	**46**	**48**	**46**	**44**	**42**	40	38	37	36	36	36
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	123	117	109	100	91	83	78	74	71	69	67
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2038 2/	123	130	136	142	148	156	168	**181**	**196**	**211**	**226**
B. Bound Tests											
B1. Real GDP growth	123	117	109	100	91	83	78	74	71	69	67
B2. Primary balance	123	118	112	103	95	86	81	78	75	73	71
B3. Exports	123	151	**195**	**182**	169	156	149	143	139	135	130
B4. Other flows 3/	123	130	134	124	115	106	101	97	94	91	88
B5. Depreciation	123	117	100	91	83	75	70	66	63	61	60
B6. Combination of B1-B5	123	145	127	144	133	122	116	111	107	104	101
C. Tailored Tests											
C1. Combined contingent liabilities	123	131	124	115	106	98	93	90	89	88	87
C2. Natural disaster	123	129	122	114	105	97	93	90	88	88	87
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	14	14	13	12	12	11	10	9	8	7	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2038 2/	14	14	14	14	15	14	13	12	12	12	13
B. Bound Tests											
B1. Real GDP growth	14	14	13	12	12	11	10	9	8	7	7
B2. Primary balance	14	14	13	12	12	11	10	9	8	7	7
B3. Exports	14	**16**	**19**	**19**	**19**	**17**	**15**	13	12	12	12
B4. Other flows 3/	14	14	13	13	13	12	10	9	8	8	8
B5. Depreciation	14	14	13	12	12	11	10	8	8	7	6
B6. Combination of B1-B5	14	**15**	**16**	**16**	**16**	14	13	11	10	10	10
C. Tailored Tests											
C1. Combined contingent liabilities	14	14	13	13	13	12	10	9	8	7	7
C2. Natural disaster	14	14	14	13	13	12	10	9	8	8	7
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	12	12	11	11	11	10	9	8	7	7	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2038 2/	12	12	12	12	13	13	12	12	11	12	12
B. Bound Tests											
B1. Real GDP growth	12	13	13	12	13	12	10	9	8	7	7
B2. Primary balance	12	12	11	11	11	11	9	8	7	7	6
B3. Exports	12	12	12	12	13	12	11	9	8	8	8
B4. Other flows 3/	12	12	12	11	12	11	10	9	8	8	8
B5. Depreciation	12	15	14	13	14	13	11	10	9	8	7
B6. Combination of B1-B5	12	13	13	13	13	12	11	10	9	9	8
C. Tailored Tests											
C1. Combined contingent liabilities	12	12	12	11	12	11	10	8	8	7	7
C2. Natural disaster	12	12	11	11	11	11	9	8	8	7	7
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. St. Vincent & the Grenadines: Sensitivity Analysis for Key Indicators of Public Debt, 2018-2028

	Projections 1/										
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
PV of Debt-to-GDP Ratio											
Baseline	**74**	**71**	**68**	**66**	**65**	**63**	**62**	**61**	**59**	**58**	**57**
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2038 2/	**74**	**72**	**72**	**72**	**72**	**73**	**73**	**74**	**75**	**75**	**76**
B. Bound Tests											
B1. Real GDP growth	**74**	**78**	**85**	**88**	**92**	**95**	**99**	**103**	**106**	**110**	**113**
B2. Primary balance	**74**	**72**	**71**	**69**	**68**	**67**	**65**	**64**	**63**	**61**	**60**
B3. Exports	**74**	**74**	**79**	**77**	**76**	**74**	**73**	**72**	**70**	**69**	**67**
B4. Other flows 3/	**74**	**75**	**78**	**76**	**74**	**73**	**71**	**70**	**69**	**67**	**65**
B5. Depreciation	**74**	**80**	**73**	**69**	**64**	**60**	**56**	52	48	45	41
B6. Combination of B1-B5	**74**	**70**	**70**	**67**	**66**	**65**	**64**	**63**	**62**	**61**	**60**
C. Tailored Tests											
C1. Combined contingent liabilities	**74**	**86**	**83**	**82**	**80**	**79**	**78**	**76**	**75**	**73**	**72**
C2. Natural disaster	**74**	**81**	**79**	**78**	**77**	**76**	**75**	**75**	**74**	**73**	**72**
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
8.219178082											
Public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	164	154	148	144	141	138	135	132	129	126	124
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2038 2/	164	158	156	156	156	157	159	160	162	163	164
B. Bound Tests											
B1. Real GDP growth	164	170	185	191	199	207	215	223	231	239	246
B2. Primary balance	164	158	155	151	148	145	142	140	137	134	131
B3. Exports	164	163	172	169	165	162	159	156	153	150	146
B4. Other flows 3/	164	165	169	165	162	158	155	153	150	146	143
B5. Depreciation	164	175	160	150	140	131	122	114	106	98	90
B6. Combination of B1-B5	164	154	152	147	144	142	139	137	135	132	130
C. Tailored Tests											
C1. Combined contingent liabilities	164	189	182	178	175	172	169	166	163	160	156
C2. Natural disaster	164	177	171	169	167	166	164	163	161	159	158
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	18	21	24	23	22	20	19	17	17	16	17
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2038 2/	18	21	26	25	24	22	22	21	21	20	21
B. Bound Tests											
B1. Real GDP growth	18	22	28	28	27	25	25	24	25	26	28
B2. Primary balance	18	21	25	24	23	20	19	18	18	17	18
B3. Exports	18	21	25	24	23	20	20	18	18	17	18
B4. Other flows 3/	18	21	25	24	23	20	20	18	18	17	18
B5. Depreciation	18	21	27	25	24	22	20	18	17	16	16
B6. Combination of B1-B5	18	21	25	24	23	20	19	18	17	17	17
C. Tailored Tests											
C1. Combined contingent liabilities	18	21	28	25	24	21	21	22	22	21	21
C2. Natural disaster	18	21	27	25	24	21	21	21	21	20	21
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.